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12

Financial Management



Learning Objectives

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PART 1. Explain the **role** and **responsibilities** of **financial managers**.

PART 2. Outline the **financial planning process** and explain the **three key budgets** in the financial plan.

PART 3. Explain why firms need **operating funds**.

PART 4. Identify and describe different sources of **short-term financing**.

PART 5. Identify and describe different sources of **long-term financing**

What's Finance?

- **Finance --** *The function in a business that acquires funds for a firm and manages them within the firm.*
- Finance activities include:
  - Preparing budgets
  - Creating cash flow analyses
  - Planning for expenditures
- **Financial Management --** *The job of managing a firm's resources to meet its goals and objectives.*
- **Financial Managers --** *Examine financial data and recommend strategies for improving financial performance.*



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What Financial Managers Do?

Two key responsibilities are to **obtain funds** and to **effectively control** the use of those funds



The Value of Understanding Finance

Three of the most common reasons a firm fails financially are:

1) Undercapitalization (insufficient funds to start the business)
2) Poor control over cash flow
3) Inadequate expense control

Financial managers are responsible for

- paying the company's bills at the appropriate time, and
- for collecting overdue payments to make sure the company does not lose too much money to bad debts (people or firms that don't pay their bills).

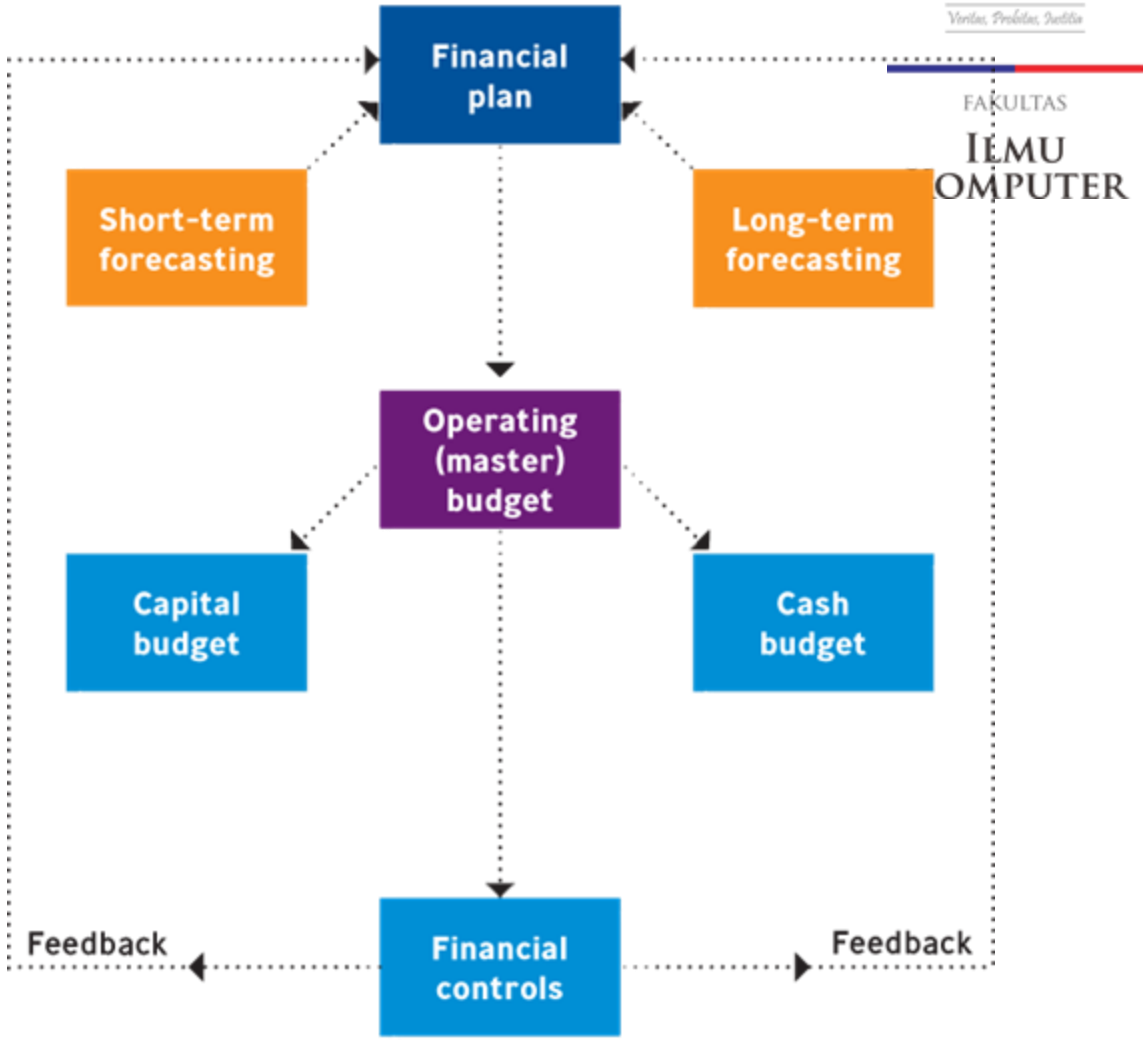


Financial Planning

- Financial planning **involves analyzing short-term and long- term money flows** to and from the company.

- Three key steps of financial planning:





1. Forecasting Financial Needs

Short-Term Forecast --
Predicts revenues, costs and expenses for a period of one year or less.

- **Cash-Flow Forecast --***Predicts the cash inflows and outflows in future periods, usually months or quarters.*

Long-Term Forecast --

- *Predicts revenues, costs, and expenses for a period longer than one year and sometimes as long as five or ten years.*

2. Budgeting

- **Budget --** *Sets forth management's expectations for revenues and* ***allocates*** *the use of specific resources throughout the firm.*

- Budgets **depend** heavily on the balance sheet, income statement, statement of cash flows and short-term and long-term financial forecasts.

- The budget is the **guide for financial operations** and **expected financial needs**.

HARVEST GOLD
Monthly Cash Budget

	JANUARY	FEBRUARY	MARCH
Sales forecast	$50,000	$45,000	$40,000
Collections			
Cash sales (20%)		$ 9,000	$ 8,000
Credit sales (80% of past month)		$40,000	$36,000
Monthly cash collection		$49,000	$44,000
Payments schedule			
Supplies and material		$11,000	$10,000
Salaries		12,000	12,000
Direct labor		9,000	9,000
Taxes		3,000	3,000
Other expenses		7,000	5,000
Monthly cash payments		$42,000	$39,000
Cash budget			
Cash flow		$ 7,000	$ 5,000
Beginning cash		–1,000	6,000
Total cash		$ 6,000	$11,000
Less minimum cash balance		–6,000	–6,000
Excess cash to market securities		$ 0	$ 5,000
Loans needed for minimum balance		0	0

Types Of Budgets

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Capital Budget -- *Highlights a firm's* ***spending plans for major asset*** *purchases that often require large sums of money*	**Cash Budget --** *Estimates* ***cash inflows and outflows*** *during a particular period like a month or quarter.*	**Operating (Master) Budget --** *Ties together all the firm's* ***other budgets and summarizes*** *its proposed financial activities.*

3. Establishing Financial Control

- **Financial Control --** *A process in which a firm periodically compares its actual revenues, costs and expenses with its budget.*

- *Such control procedures help managers **identify variances** to the financial plan and allow them to take **corrective action** if necessary*
    - Is the firm meeting its short-term financial commitments?
    - Is the firm producing adequate operating profits on its assets?
    - How is the firm financing its assets?
    - Are the firms owners receiving an acceptable return on their investment?



Key Needs For Operational Funds in a Firm

Managing day-by-day needs of the business	• Financial managers must ensure that funds are available to meet daily cash needs without compromising the firm's opportunities to invest money for its future. • Money has a time value
Controlling credit operations	• Making credit available to keep current customers and attract new ones. Credit for customers can be especially important during tough financial times
Acquiring needed inventory	• A business of any size must understand that poorly managed inventory can seriously affect cash flow and drain its finances dry.
Making capital expenditures	• **Capital expenditures** are major investments in either tangible long-term assets such as land, buildings, and equipment, or intangible assets such as patents, trademarks, and copyrights



How Small Businesses Can Improve Cash Flow

- Be more aggressive in collecting accounts receivable.
- Offer customers discounts for paying early.
- Take advantage of special payment terms from vendors.
- Raise prices.
- Use credit cards discriminately.



Source: American Express Small Business Monitor.

Using Alternative Sources of Funds

1. **Debt Financing --** *The funds raised through various forms of* ***borrowing*** *that must be repaid.*

2. **Equity Financing --** *The funds raised from* ***within the firm*** *from operations or* ***through the sale of ownership*** *in the firm (such as stock).*



Short and Long-term Financing

- **Short-Term Financing --** *Funds needed for a year or less.*
- **Long-Term Financing --** *Funds needed for more than a year.*

SHORT-TERM FUNDS	LONG-TERM FUNDS
Monthly expenses	New-product development
Unanticipated emergencies	Replacement of capital equipment
Cash flow problems	Mergers or acquisitions
Expansion of current inventory	Expansion into new markets (domestic or global)
Temporary promotional programs	New facilities



Types of Short-term Financing

Trade Credit | Family and Friends | Commercial Banks

- **Trade Credit --** *The practice of buying goods or services now and paying for them later.*
  - Businesses often get terms such as 2/10 net 30 when receiving trade credit.
  - **Promissory Note --** *A written contract agreeing to pay a supplier a specific sum of money at a definite time.*

Types of Short-term Financing (Cont.)

Trade Credit | **Family and Friends** | Commercial Banks

- Many small firms obtain short-term financing from **friends and family.**

- If asking for help from family or friends, it's important **both parties**:
  1) Agree to specific loan terms
  2) Put the agreement in writing
  3) Arrange for repayment the same way they would for a bank loan

Types of Short-term Financing (Cont.)

Trade Credit | Family and Friends | **Commercial Banks**

- Banks generally prefer to lend **short-term money to larger**, more established businesses.
  - The recent financial crisis has made it difficult for even promising and well-organized businesses to get loans.
- Person in charge of finance should keep in **close touch** with the bank and send **regular financial statements** to keep the bank up-to-date on its operations

Different Form of Short-term Loans

- **Commercial banks** offer short-term loans like:
  - **Secured Loans --** *Backed by collateral.*
  - **Unsecured Loans --** *Don't require collateral from the borrower.*
  - **Line of Credit --** *A given amount of money the bank will provide so long as the funds are available.*

Setting Long-term Financing Objectives

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Three questions of financial managers in setting **long-term financing objectives**

1) What are the organization's **long-term goals** and **objectives**?
2) What **funds** do we need to achieve the firm's long-term goals and objectives?
3) What **sources** of long-term funding (capital) are available, and which will best fit our needs?

Two Major Sources of Long-Term Funding

- Debt Financing
- Equity Financing

Debt Financing: Borrowing from Lending Institutions

- Long-term financing loans generally come due within 3 -7 years but may extend to 15 or 20 years.
- **Term-Loan Agreement --** *A promissory note that requires the borrower to repay the loan with interest in specified monthly or annual installments.*
- A major advantage is the interest the firm pays is tax deductible.
- Lenders that assume more risk usually require collateral, which may be real estate, machinery, equipment, company stock, or other items of value.

Debt Financing: Issuing Bonds

To put it simply, a bond is like an IOU with a promise to repay the amount borrowed, with interest, on a certain date.

- **Indenture Terms --** *The terms of agreement in a bond issue.*
- **Secured Bond --** *A bond issued with some form of collateral (i.e. real estate).*
- **Unsecured (Debenture) Bond --** *A bond backed only by the reputation of the issuing company.*



Equity Financing

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A company can secure equity financing by:

- **Selling Stock** : The first time a company offers to sell its stock to the general public is called an initial public offering (IPO)
- **Retained earnings** : The profits the company keeps and reinvests in the firm
- **Venture Capital:** Money that is invested in new or emerging companies that some investors believe have great profit potential.
  - The hardest time for a business to raise money is when it is starting up or just beginning to expand

How Companies Fail to Raise Capital

1. There is no formalized business plan to show need.
2. The company does not know how much to request from a lender.
3. Poor credit.
4. Management is unrealistic about growth.

Source: St. Louis Small Business Monthly, January 2014.

Differences Between Debt and Equity Financing

	Type of Financing	
Conditions	**Debt**	**Equity**
Management influence	There's usually none unless special conditions have been agreed on.	Common stockholders have voting rights.
Repayment	Debt has a maturity date.	Stock has no maturity date.
	Principal must be repaid.	The company is never required to repay equity.
Yearly obligations	Payment of interest is a contractual obligation.	The firm isn't legally liable to pay dividends.
Tax benefits	Interest is tax-deductible.	Dividends are paid from after-tax income and aren't deductible.

Comparing Debt and Equity Financing

- **Leverage --** *Raising funds through borrowing to increase the firm's rate of return.*

- **Cost of Capital --** *The rate of return a company must earn in order to meet the demands of its lenders and expectations of equity holders.*

Additional Debt		Additional Equity	
Stockholders' equity	$500,000	Stockholders' equity	$500,000
Additional equity	—	Additional equity	$200,000
Total equity	$500,000	Total equity	$700,000
Bond @ 8% interest	200,000	Bond interest	—
Total shareholder equity	$500,000	Total shareholder equity	$700,000
Year-End Earnings			
Gross profit	$100,000	Gross profit	$100,000
Less bond interest	−16,000	Less interest	—
Operating profit	$ 84,000	Operating profit	$100,000
Return on equity	16.8%	Return on equity	14.3%
($84,000 ÷ $500,000 = 16.8%)		($100,000 ÷ $700,000 = 14.3%)	

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Personal Finance



Learning Objectives

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PART 1. Explain the the **important of personal finance.**

PART 2. Explain **areas of personal finance.**

PART 3. Describe **personal finance strategies.**

PART 4. Describe **personal finance skills.**

PART 5. Explain **basic investing option in Indonesia.**

The Importance of Personal Finance

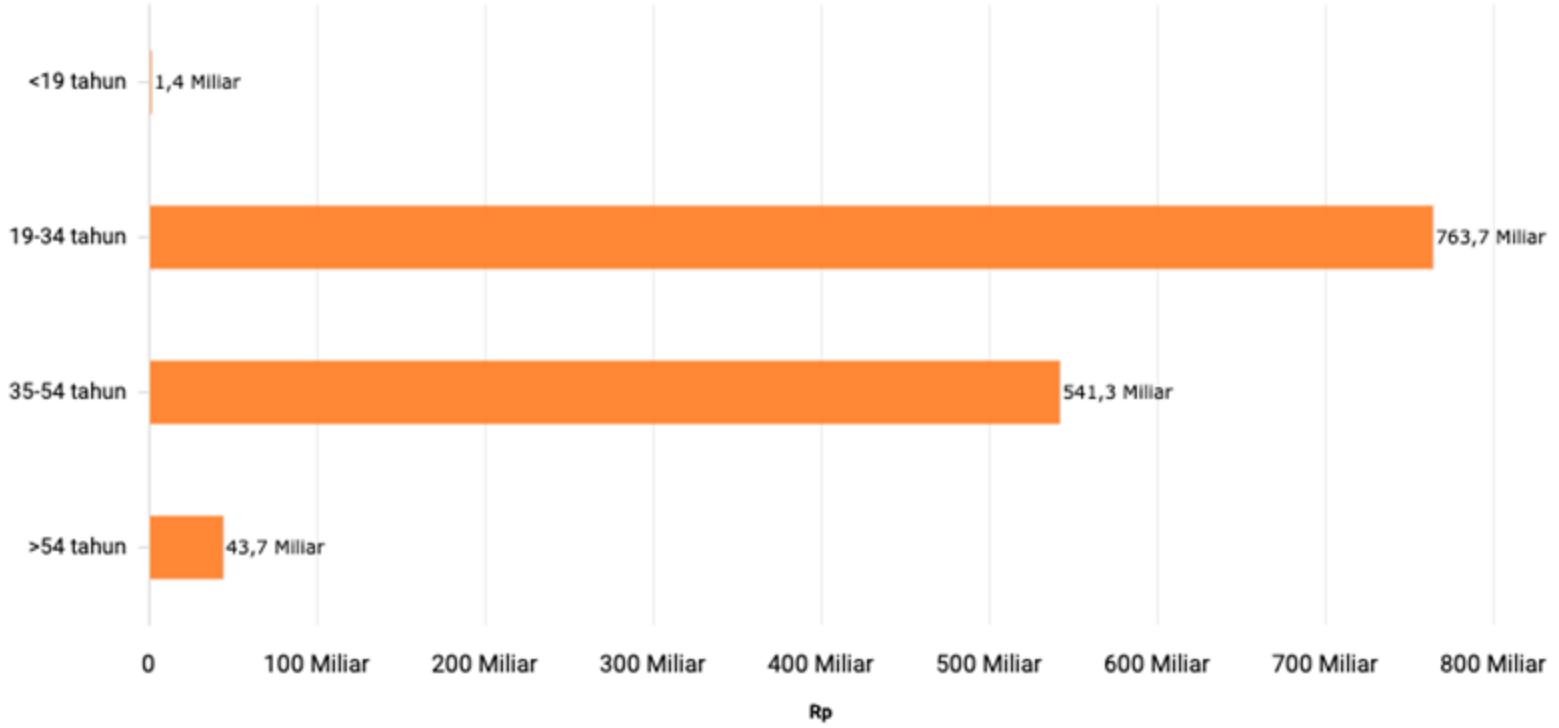
Personal Finance is about meeting personal financial goals.

- having enough for short-term financial needs
- planning for retirement
- or saving for your child's college education.

It **depends on** income, spending, saving, investing, and personal protection (insurance and estate planning).



The Importance of Personal Finance (cont)



https://databoks.katadata.co.id/datapublish/2023/08/23/gen-z-dan-milenial-jadi-penyumbang-kredit-macet-pinjol-terbesar-pada-juni-2023

- Berdasarkan data Otoritas Jasa Keuangan (OJK), nilai kredit macet pinjaman *online* (pinjol) secara nasional mencapai Rp1,73 triliun pada Juni 2023.
- Kasus kredit macet pinjol didominasi oleh kelompok usia 19-34 tahun.
- Kelompok usia yang terdiri dari generasi Z dan milenial tersebut memiliki nilai akumulasi gagal bayar utang sebesar Rp763,65 miliar, atau berkontribusi sekitar 44,14% dari total kredit macet pinjol nasional.

The Importance of Personal Finance (cont)

Berikut alasan yang mendasari Gen Z dan Generasi Milenial seperti dilansir dari OJK melakukan pinjol:

1. **Kemudahan teknologi** pinjaman digital (fintech pendanaan bersama, paylater,dan lain-lain) yang membuat pengajuan pinjaman semakin mudah.
2. Aplikasi belanja yang **terhubung ke paylater** (ecommerce, aplikasi pemesanan tiket, makanan, dll) membuat aktivitas belanja dan wisata semakin mudah.
3. Milenial dan Gen Z berusia produktif, meskipun memilki pendapatan yang cukup, namun kebiasaan berhutang bisa muncul **jika memliki gaya hidup komsumtif**.
4. Tidak **memiliki literasi keuangan yang baik** berakibat tidak bisa menabung atau berinvestasi, malah menggunakan produk pinjaman secara tidak bijak.

https://bisnis.solopos.com/mendominasi-ini-alasan-gen-z-dan-milenial-suka-utang-di-pinjol-1594002

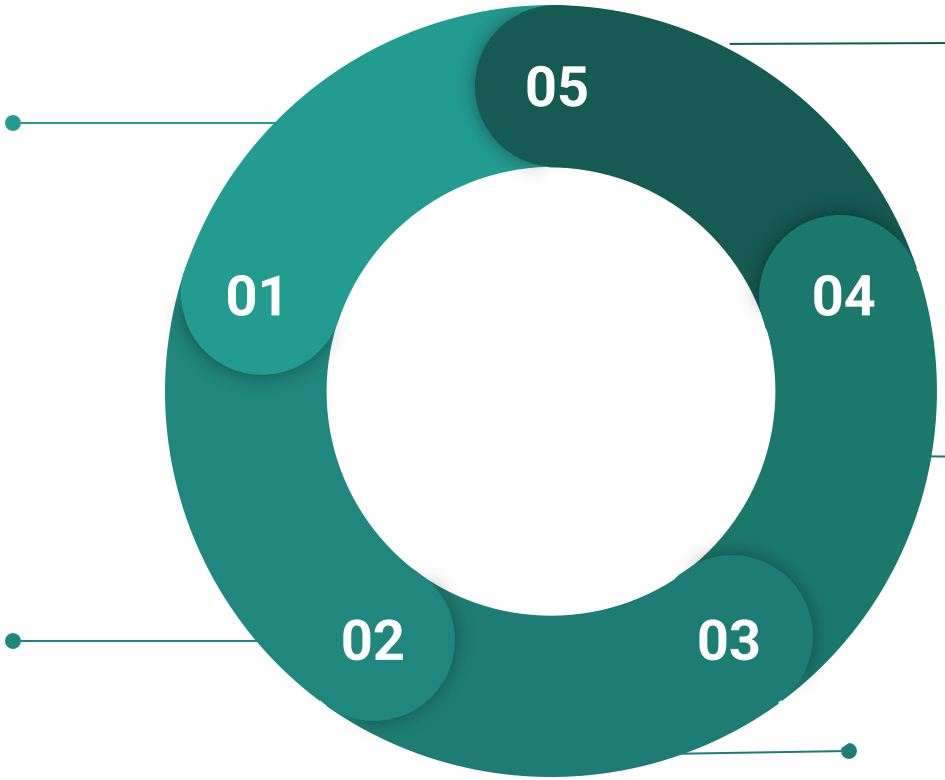
Areas of Personal Finance

Income

Income is the starting point of personal finance. It is the entire amount of cash inflow that you receive and can allocate to expenses, savings, investments, and protection. This includes **salaries, wages, dividends**, and other sources of cash inflow.

Spending

Spending is an outflow of cash and typically where the bulk of income goes. Spending is whatever an individual uses their income to buy. This includes **rent, mortgage, groceries, hobbies, eating out,** home furnishings, home repairs, travel, and entertainment.



Saving

Savings is the income left over after spending. Everyone should aim to have savings to cover large expenses or emergencies. Regardless of the difficulty, everyone should strive to have at least a portion of savings to meet any fluctuations in income and spending—somewhere between three and 12 months of expenses.

Investing

Investing involves purchasing assets, usually stocks and bonds, to earn a return on the money invested. Investing **aims to increase an individual's wealth beyond the amount they invested.** Investing does come with risks, as not all assets appreciate and can incur a loss.

Protection

Protection refers to the methods people take to protect themselves from unexpected events, such as illnesses or accidents, and as a means to preserve wealth. Protection includes **life and health insurance** and estate and retirement planning.

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Personal Finance Strategies

1. Know Your income

- It's all for nothing if you don't know how much you bring home after taxes and withholding. So before deciding anything, ensure you know exactly how much take-home pay you receive.

2. Devise a Budget

- A budget is essential to living within your means and saving enough to meet your long-term goals. The 50/30/20 budgeting method offers a great framework.

3. Pay Yourself First (Build Financial Safety)

- It's important to "pay yourself first" to ensure money is set aside for unexpected expenses, such as medical bills, a significant car repair, day-to-day expenses if you get laid off, and more. The ideal safety net is 3 to 12 months of living expenses.

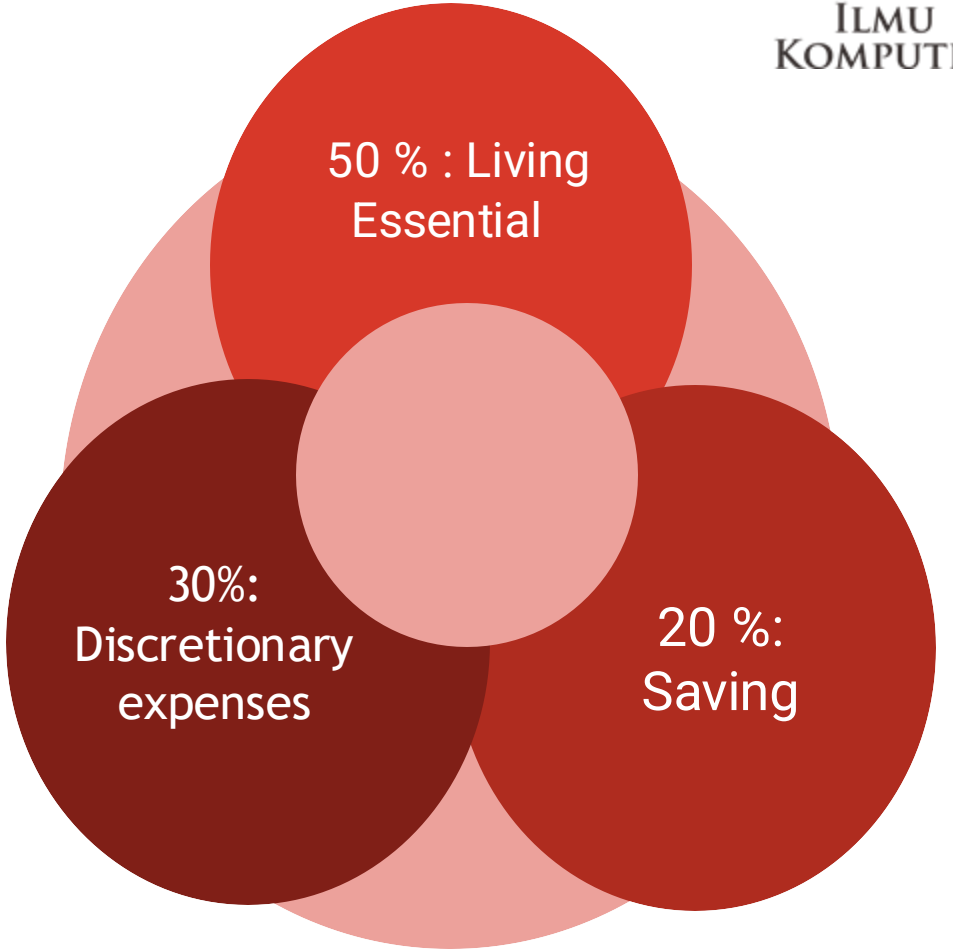
4. Limit and Reduce Debt

- It sounds simple enough: Don't spend more than you earn to keep debt from getting out of hand.



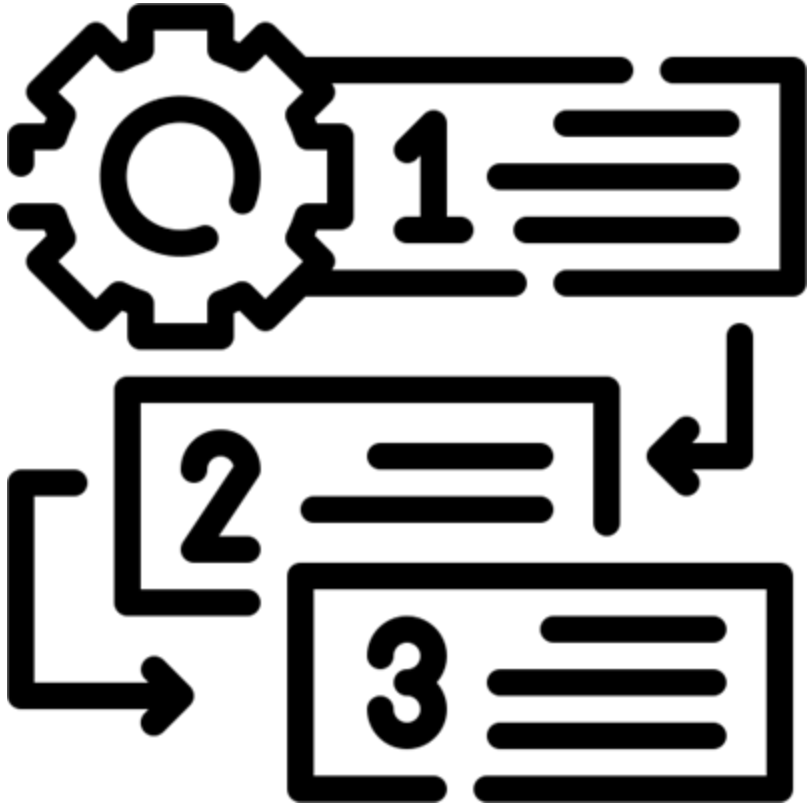
The 50/30/20 budgeting method

- **Fifty percent** of your take-home pay or net income (after taxes) **goes toward living essentials**, such as rent, utilities, groceries, and transport.
- **Thirty percent** is allocated to **discretionary expenses**, such as dining out and shopping for clothes. Giving to charity can go here as well.
- **Twenty percent** goes toward **the future**—paying down debt and saving for retirement and emergencies.



Personal Finance Skills

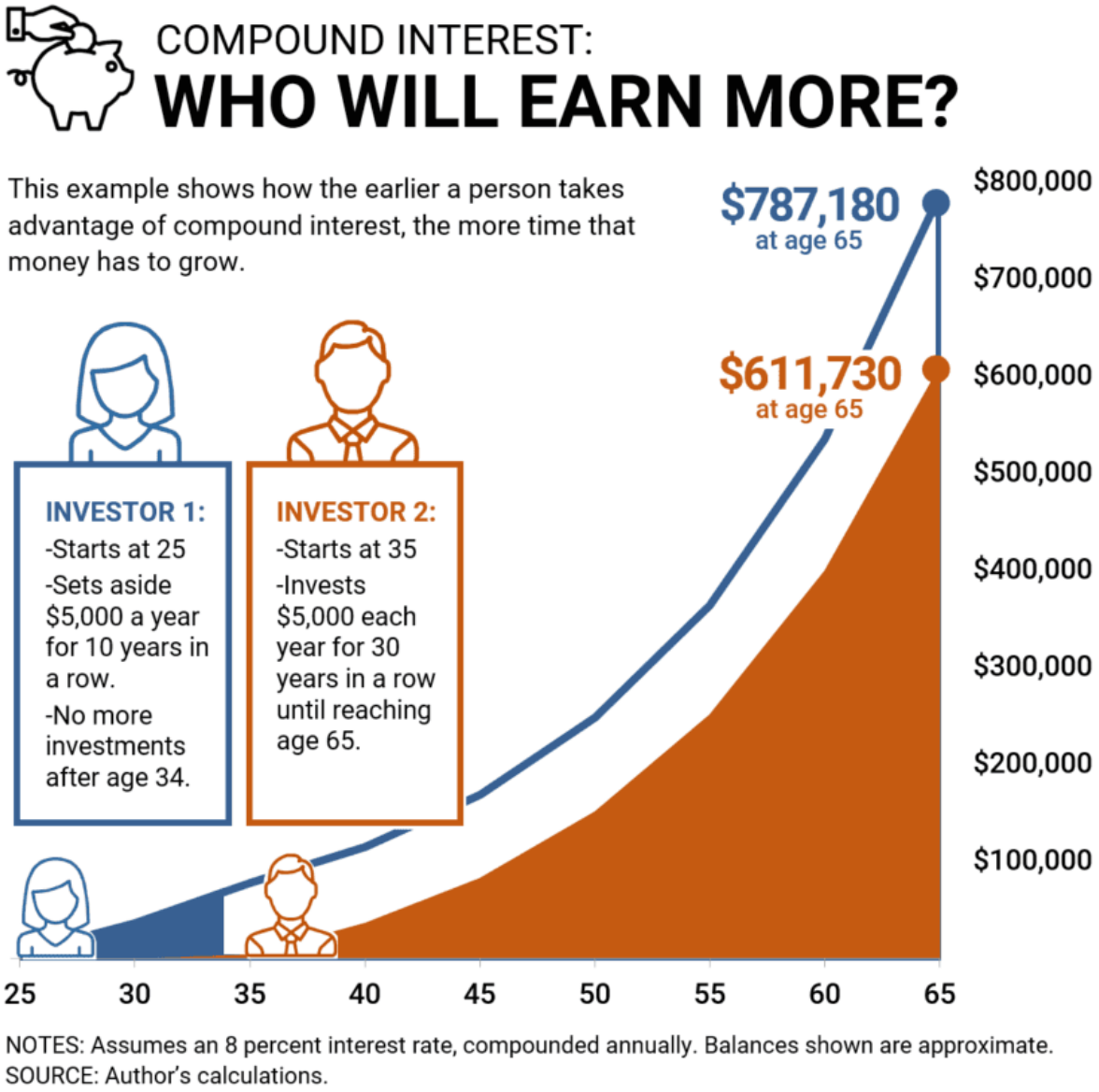
- **Finance Prioritization:** This means that you can look at your finances, discern what keeps the money flowing in, and make sure that you stay focused on those efforts.
  - Using 50/30/20 methods.
  - Focus on main goals
  - Pause before purchasing – 3 days rule
    - Will you still want it after 3 days?



Basic Investing

- Investasi untuk apa?
- Mengetahui arti “cukup” >> *don’t be greedy*
- Pastikan fondasi keuangan sudah ada, sebelum memulai investasi
- Tentukan instrumen investasi berdasarkan **profil risiko** & **tujuan keuangan**
- Jangan meletakkan semua telur di satu keranjang
- Mulai sedini mungkin
- Contoh ragam alternatif instrumen investasi:
  1. Deposito
  2. Logam Mulia
  3. Reksa dana
  4. Obligasi Negara / Perusahaan
  5. Saham
  6. Properti





Dengan dana investasi dan *return* investasi yang sama, Investor A **mendapatkan hasil akhir yang lebih besar**, meskipun durasi investasinya lebih pendek.

Basic Investing

	Instrumen Investasi				
	Deposito	**Logam Mulia**	**Reksadana**	**Obligasi / Sukuk**	**Saham**
Variasi jenis	Syariah, konvensional	Fisik dan digital	Pasar uang, pendapatan tetap, saham, campuran	negara, perusahaan	Syariah, konvensional
Risiko	Rendah	Rendah	tergantung jenis reksadana	tergantung jenis	Tinggi
Return per tahun	Rendah (2-5%)	Sedang (jangka panjang)	tergantung jenis reksadana	tergantung jenis, berkisar 6-10%	sangat bervariasi
Kelebihan	Tidak perlu pengetahuan khusus	Tidak perlu pengetahuan khusus	Dikelola oleh manajer investasi	Mendapatkan passive income	Bisa mendapatkan dividen (bagi hasil) & capital gain
Kekurangan	Pajak 20%	Terdapat spread harga jual dan beli yang cukup besar	Tidak bebas mengatur portofolio	Pajak 10% Kurang likuid	Harga bisa sangat fluktuatif Harus rajin mencari informasi

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